The Exit Readiness Gap

Why 75% of Business Owners Are Unprepared (And What It's Costing Them)

White Paper

ELLIOTT J. CULP

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Founders Introduction

For such an innocuous word, change often invokes feelings of uncertainty and fear. When things have been a certain way for a certain amount of time, we achieve consistency; we grow accustomed to this consistency and the rest of our lives are built around it.

It is this exact consistency that leads so many business owners to overlook the tools and strategies required to successfully exit their businesses. Some business owners "plan" to get to it when things calm down; others view exiting his or her business as an unsolvable black box, and dare not peek inside.

No matter how the lack of action is framed, I find one thing to be true; most business owners have a psychological road block when it comes to thinking about exiting their business, the possible ending of their "traditional" career, and all the uncertainties that come with these thoughts.

These psychological barriers then become self-fulfilling. Business owners do not plan for exiting their business because of these uncertainties. Then when the time to exit their business arrives, it plays out just as they feared.

It is through this lens that RTO Advisory presents you this White Paper.

Elliott J. Culp

Your life's work and your future self deserve more consideration and planning than you are likely providing them now.

If any part of this tension feels familiar, the pull of consistency, the fear of what comes after, the temptation to look away, you are exactly who this White Paper was written for.

What follows is not theory or generic advice. It is an empirical look at what the data actually says about owner preparedness, the six specific readiness gaps that derail exit, and how a deliberate preparation, whether you have several years or are closer than you would like, can tum uncertainty into options.

All I suggest is that you keep reading with one question in mind:

"If I keep doing what I am doing now, am I likely to be one of the 75 percent who regret how they exited, or one of the few who leave on their own terms"

The data is clear. Let's examine it directly.

Executive Summary

Across the lower middle market, there is a widening gap between how many owners plan to exit and how many are actually prepared to do it well. The data is blunt: approximately 75%[3] of business owners lack formal exit plans, and 58%[1,2,3] have no plan at all. The Exit Planning Institute reports that only about 42%[1,2,3] have a formal business transition plan in place, even though 75%[3] of owners say they want to exit within the next decade. Collectively, this represents an estimated $14 trillion[3] transition opportunity that is largely unplanned.

For owners of privately held companies with 1–100 employees and $1M–$100M in revenue or EBITDA, this "exit readiness gap" shows up in hard numbers:

- Owners who begin planning 3-5 years ahead increase their business value by up to 30% versus those who rush[3,15]
- Rushed exits typically suffer 20-40% lower valuations[3]
- Only 20-30%[3] of businesses listed for sale actually complete a transaction
- A full 75% of owners regret their exit, and 70% of founders are disappointed in the value they achieved[6]

At the same time, market momentum is building. In 2025, 75.8% of CEOs started exit planning[5,8] lower middle market M&A activity grew 12.8% in 2024[9,16,17] and the average private equity deal closed at 7.2x EBITDA[9,10,16]. Sell-side intent among middle market firms is rising from 18% in 2025 to 24% in 2025 and 2027[5,8].

This white paper makes the exit readiness gap tangible and urgent.

It explains:

- Owner preparedness by size and stage
- The financial and personal cost of delayed planning
- The six readiness gaps buyers and lenders consistently uncover
- How a disciplined 3-5 year runway can increase value by up to 30%[3] and improve deal certainty

Finally, it outlines how RTO Advisory's Exit Readiness Assessment helps owners benchmark their current state, quantify risk, and build a realistic, value-focused plan-before the market, a health event, or an unsolicited offer forces their hand.

Introduction

A Perfect Storm for Private Business Owners

The exit landscape has changed.

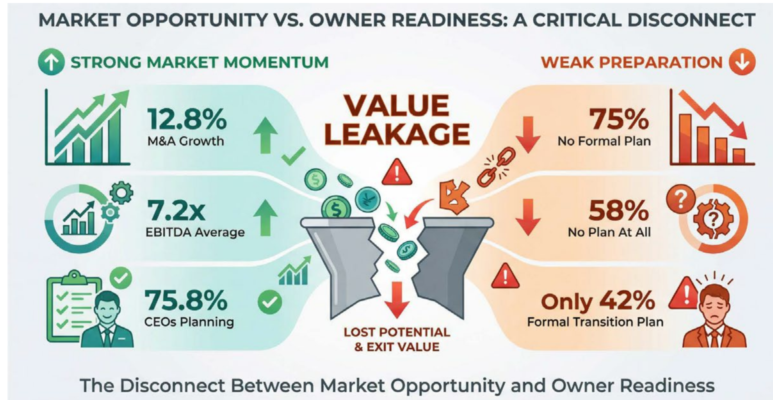
On one side, demand for quality lower middle-market businesses is strong. In recent years, **lower middle market M&A activity grew 12.8%**[9,16,17] and the average private equity deal closed at a **7.2x EBITDA multiple**[9,10,16] - creating a favorable environment for sellers of well-prepared companies.

On the other side, the supply of owners thinking about exits is accelerating. Surveys show that 75%[3] **of owners want to exit within the next decade**, yet most have not moved beyond vague intentions. Only about **42%**[1,2,3] **have a formal business transition plan, and approximately 75%**[3] **lack formal exit plans altogether.**

In the middle of this are owners like you:

- Your company is meaningful in size, often 1–100 employees with $1M–$100M in revenue and $1M–$20M in EBITDA.
- You may be 3–7 years from wanting out, or you may simply want more options: recapitalization, partial sale, management buyout, or gradual transition.
- You're focused on hitting this year's numbers and keeping operations steady, and formal exit planning often sits on the "later" list.

Unfortunately, the market does not reward "later."



The data shows a bifurcation:

- Owners who commit to structured, multi-year exit planning increase value, improve profitability, and close deals
- Owners who wait until a trigger event (a health scare, a key employee departure, or an unsolicited offer) are forced into "rushed exits" that can erode 2040%[3] of value and drive up regret

The purpose of this white paper is not to sell you on selling. It is to make clear that exit readiness is now a core element of running a privately held business.

Whether you plan to sell in three years, seven years, or transfer to family or management; you are already on the path.

The question is whether you will approach it deliberately or allow circumstances to dictate your options and your price.

The Exit Readiness Gap

A $14 Trillion Problem Hiding in Plain Sight

The headline numbers are stark:

- **Approximately 75%[3] of business owners lack formal exit plans**
- **58%[1,2,3] have no plan at all**
- Only about **42%[1,2,3]** of owners have a formal transition plan, despite **75%[3] saying they want to exit within ten years**
- Experts estimate this adds up to a **$14 trillion[3] business transition opportunity** that is largely unplanned

Those numbers are not reserved for large corporations. In fact, gaps worsen as businesses get smaller.

Business Size: Smaller Companies, Bigger Gaps

The 2023 Q4 Market Pulse Report shows a clear pattern: the smaller the business (by revenue), the less likely it is to have any exit planning in place[4].

These are businesses that often represent the bulk of an owner's net worth. Yet most are being operated without a documented strategy for how and when the owner will achieve liquidity.

When you look at size through the lens of headcount, the picture is only marginally better. Smaller firms with 1–100 employees are identified as the least prepared, with just 57.5%[5] having exit plans

Even where there is an "exit plan," it is frequently:

- A simple mental picture, not a written strategy
- Underpinned by a single valuation number the owner hopes to achieve
- Silent on tax, succession, banking, and operational readiness

Business Size	% With No Exit Planning
Under $500K	74%
$500K – $1M	67%
$1M – $2M	63%
$2M – $5M	57%

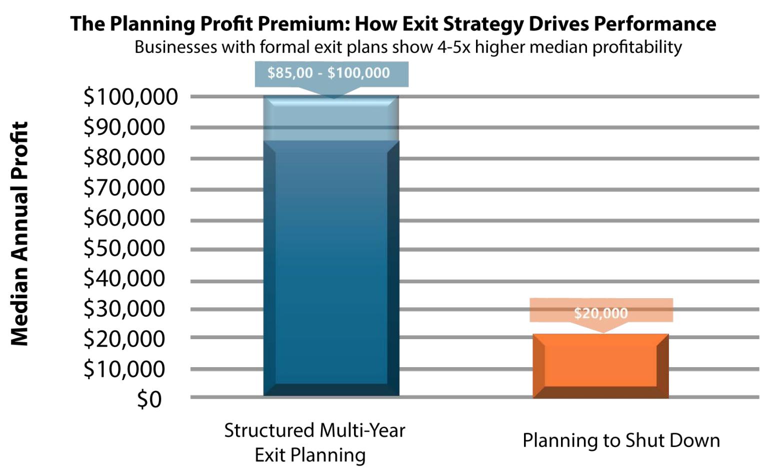
In other words: **the presence of a "plan" does not mean readiness.**

Confidence Follows Preparation

The personal impact of preparation also shows up in the data. Among CEOs who have begun preparing for an exit:

- 74%[5] of prepared owners feel confident their business will succeed one year after departure
- Confidence drops to 53.6%[5] among those who have not prepared

This matters. A buyer is not just purchasing your numbers; they are buying a future in which your company operates without you. If you are not confident in that future, neither will a sophisticated buyer or lender be.



The Cost of Being Unprepared

Value Lost at the Finish Line

The most visible cost of poor exit readiness is valuation.

Owners who begin exit planning **3–5 years ahead** increase their business value by **up to 30%**[3], [15] compared to those who rush.

Conversely, rushed exits—triggered by burnout, unsolicited offers, or external shocks—typically result in **20–40%**[3] lower valuations.

For a lower middle market owner, that difference is measured in millions of dollars of lost (or created) wealth. Because most owners have a significant portion of their net worth tied up in the business, what happens in the final 3–5 years often determines retirement quality, family security, and the ability to fund new ventures or philanthropic goals.

Profitability: Planning vs. "Just Shutting Down"

Exit readiness shows up not just in sale multiples, but in day-to-day business performance.

The data indicates:

- Businesses with **structured, multi-year exit planning** report median profits of **$85,000–$100,000**[3]
- Businesses planning to shut down report median profits of only **$20,000**[3]

Planning for exit drives discipline: better financial reporting, tighter cost control, and a focus on value-creating activities. Owners who intend to wind down operations often underinvest, defer decisions, and erode profitability along with enterprise value.

The Transaction Failure Trap

Even owners who do go to market are not guaranteed a successful outcome.

Only 20–30%[3] of businesses listed for sale actually complete transactions.

The remaining majority invest time, emotion, and advisory fees—only to see deals stall or collapse, often due to issues that could have been addressed years earlier:

- Weak or inconsistent financial statements
- Owner-dependent operations
- Unclear tax and legal structures
- Banking and collateral issues uncovered late in due diligence

In these situations, buyers either walk away or use discovered risks to justify steep price reductions and more aggressive structures (earn-outs, seller notes, and contingencies).

Regret and Disappointment

The human cost of poor preparation is just as real as the financial one:

- 75%[6] of owners regret their exit
- 70%[6] of founders are disappointed in the value achieved

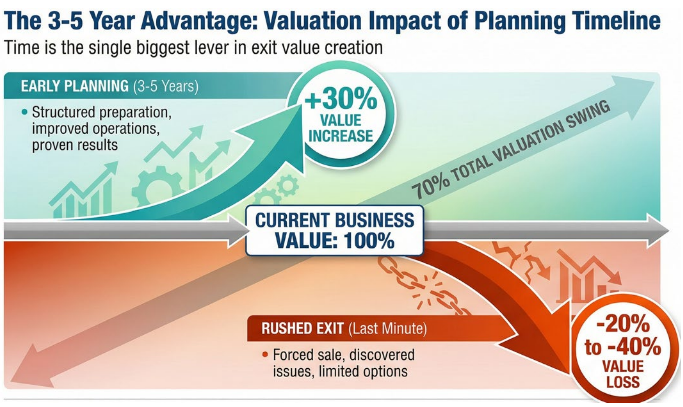
Regret typically centers on four themes:

1. "I left money on the table"
2. "I didn't understand my options"
3. "The process took over my life, and my business suffered"
4. "I thought I had more time"

Exit readiness is about ensuring you are not part of these outcomes, and that when the time comes, you exit on your own terms, with clarity, confidence, and control.

Six Critical Readiness Gaps

Six recurring deficiencies consistently undermine exits for lower middle market owners. These are the gaps buyers, lenders, and due diligence teams will
uncover whether you address them proactively or not.



1. Financial Reporting: The Foundation Buyers Trust, or Don't

Many privately held businesses rely on tax-oriented financials or internally generated reports that are sufficient for day-to-day management but fall short of lender and investor expectations.

Common issues include:

- Inconsistent application of accounting policies across periods
- Limited or no monthly close process
- Weak segregation of duties or control environment
- Lack of clean, segment-level reporting (by product, customer group, or location)
- Minimal forecasting and budgeting discipline

In an exit, these weaknesses translate to:

- Longer, more painful due diligence
- Greater skepticism from buyers about "normalized"earnings
- Wider gaps between owner-expected value and
- buyer-underwritten value

Improving financial reporting is often the single highest ROI move an owner can make in the 3–5 years before exit, directly supporting higher valuations and smoother financing processes.

2. Tax Strategy: Reactive Structures, Avoidable Leakage

Owners and third-party advisors consistently identify reactive tax structures as a major readiness gap[7,11,12]

Examples include:

- Entity types chosen for historical reasons rather than current value or exit strategy
- Commingling of business and personal expenses that complicates normalization
- No pre-planning around asset versus stock sale implications
- Limited consideration of how proceeds will flow to owners and next-generation entities

Tax issues often surface at the worst possible time, during deal structuring, when options are constrained and buyers are impatient. Pre-planning,several years in advance, can:

- Reduce overall tax leakage on exit proceeds
- Make your company more attractive by offering flexible deal structures
- Avoid rushed, last-minute restructurings that raise red flags with buyers and the IRS

Six Critical Readiness Gaps

3. Succession & Continuity: Unaddressed Key-Person Risk

A common deficiency is the absence of documented succession or continuity plans, leaving key-person risk unaddressed[7,13,14].

In many lower middle market firms:

- The owner controls critical customer relationships
- The owner is the de facto head of sales, product, and finance
- There is no clear second-in-command or leadership bench
- Knowledge is tribal and undocumented

To a buyer or lender, this is a threat: if the owner leaves, will performance hold?

Addressing key-person risk involves:

- Clarifying roles and responsibilities
- Identifying likely successors and development needs
- Building a leadership team that can credibly run the business without you
- Documenting processes so that value is embedded in the company, not the founder's knowledge

Succession and continuity planning are not just about family transfers. They are a prerequisite for any credible third-party sale or recapitalization.

4. Valuation Reality: Overestimation and Lack of Benchmarking

Many owners overestimate company value without objective benchmarking[11,12,15].

Common patterns:

- Anchoring on a single multiple heard from a peer or seen in the news
- Ignoring size, sector, growth, and risk factors that affect valuation
- Assuming buyers will pay for "potential" that has not been proven in the numbers

This misalignment is a leading cause of failed or never-started transactions. Owners delay going to market, waiting for a price the company cannot support, or they shut down discussions when initial indications are below expectations, only to discover years later that they would have been better off taking those terms.

Objective benchmarking and valuation work (preformed well before a live sale process) helps owners:

- Align expectations with market reality
- Identify specific value drivers to focus on in the next 3–5 years
- Understand the value impact of addressing the other five readiness gaps

Six Critical Readiness Gaps

5. Operational Dependence on the Owner

Many businesses are operationally dependent on the owner, lacking the systems, processes, and professional management needed to function profitably in the owner's absence[7,11,12].

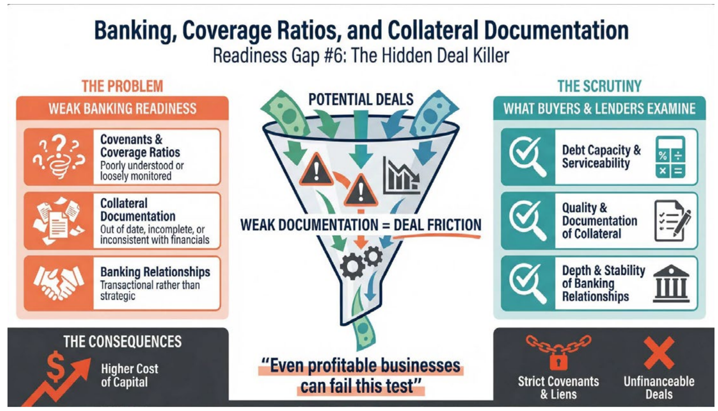
Indicators include:

- The owner is the bottleneck for key decisions
- No documented playbooks for sales, operations, or customer service
- Key relationships (customers, suppliers, bankers) sit exclusively with the owner
- Limited delegation or empowerment of mid-level managers

In an exit, this creates three problems:

1. Buyers discount value to account for transition risk
2. They may require longer earn-outs or heavier seller financing to keep the owner tied to outcomes
3. The pool of potential buyers shrinks, as many private equity firms and strategic acquirers prefer businesses with institutionalized processes and transferable know-how

Reducing owner dependence is a multi-year project, but it is one of the clearest paths to higher multiples and better transaction structures[12,15].



6. Banking, Coverage Ratios, and Collateral Documentation

Lastly, weak coverage ratios, incomplete collateral documentation, and undeveloped banking relationships represent a significant readiness gap.

Even profitable businesses can struggle in this regard, with indicators such as:

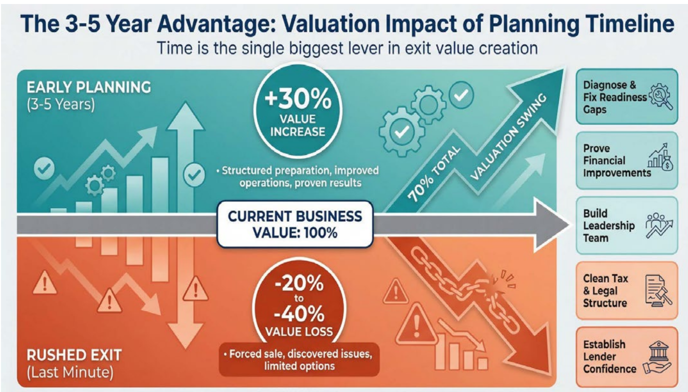
- Covenants and coverage ratios are poorly understood or loosely monitored
- Collateral schedules are out of date, incomplete, or inconsistent with financial statements
- Relationships with lenders are transactional rather than strategic

In a transaction, buyers and their lenders will scrutinize:

- Debt capacity and serviceability (coverage ratios)
- The quality and documentation of collateral
- The depth and stability of banking relationships

If these areas are weak, deals can become more expensive (higher cost of capital), more heavily conditioned (strict covenants, liens), or simply unfinanceable.

The 3-5 Year Advantage



Why Time Is the Single Biggest Lever

Owners who begin exit planning 3–5 years ahead increase their **business value by up to 30%**[3,15] compared to those who rush the process.

Why does a 3–5 year runway matter so much?

Because it gives you time to:

- Diagnose and fix the six readiness gaps
- Prove improvements in your numbers (margins, growth, customer retention)
- Build and demonstrate a leadership team that can run the business
- Clean up tax and legal structures before a buyer is in the room
- Establish lender confidence and a track record of covenant compliance

A rushed process compresses all of that into months, often under stress. A 3–5 year horizon turns it into a manageable strategic program.

Market Tailwinds You Can Actually Use

Even in a time of volatility, the current environment is favorable for prepared sellers:

Why does a 3–5 year runway matter so much?

Because it gives you time to:

- 75.8%[5,8] of CEOs started exit planning in 2025, the highest rate in three years
- Lower middle market M&A activity grew 12.8%[9,16,17] in 2024
- The average private equity deal closed at 7.2x EBITDA[9,10,16]
- Sell-side M&A intent among middle market firms is projected to rise from 18% to 24%[5,8] between 2025 and 2027

For owners, this means:

- Capital is available for quality deals
- Buyers are active and increasingly focused on the lower middle market
- Competition among sellers will likely increase in the coming years

Prepared businesses will be able to harness these tailwinds. Unprepared one's risk being lost in the noise or forced to accept unfavorable terms.

Two Paths:

Waiting vs. Planning (A Brief Case Study)

Consider two fictional owners with similar businesses. Both run B2B service companies with about 40 employees and strong local reputations.

Owner A: "I'll Deal With It When I'm Ready"

Owner A has always assumed the business would "be worth a lot" when the time came. There is no written exit plan. Financials are tax-oriented; there is a capable bookkeeper but no CFO-level oversight. The owner is central to sales and a few key client relationships.

When burnout sets in and a health scare hits, Owner A decides it is time to sell. A broker is engaged, and the business goes to market.

During due diligence, the buyer uncovers:

- Customer concentration around relationships handled personally by the owner
- Inconsistent financial reporting and limited forecasting
- Unclear documentation around bank facilities and collateral

The buyer reduces their initial price, adds an earn-out, and requires the owner to stay on longer than planned [7,12].

Exhausted, the owner accepts terms that feel misaligned with the decades invested in the business.

Owner B: "Exit Readiness Is a Strategic Priority"

Owner B decides, five years before wanting optionality, to focus on exit readiness, not necessarily on selling, but on being sale-ready.

Over the next several years, Owner B:

- Upgrades financial reporting and engages outside expertise to strengthen controls
- Works with tax advisors to align entity structure with likely exit scenarios
- Builds a second-line management team and transitions key relationships
- Benchmarks valuation to understand realistic ranges and value drivers
- Documents processes and strengthens banking relationships and collateral schedules

Over the next several years, Owner B:

- Upgrades financial reporting and engages outside expertise to strengthen controls
- Works with tax advisors to align entity structure with likely exit scenarios
- Builds a second-line management team and transitions key relationships
- Benchmarks valuation to understand realistic ranges and value drivers
- Documents processes and strengthens banking relationships and collateral schedules

When Owner B eventually explores a sale, buyers see:

- Clean, consistent financials
- A credible leadership team that can operate independently
- Clear evidence of risk reduction in key-person, tax, and banking areas

This combination justifies stronger offers, more favorable structures, and multiple interested buyers[7,12,15].

Owner B has options: sell now, recapitalize, or keep growing.

Both owners "worked hard." Only one made exit readiness a deliberate part of how the business was run.

What an Exit Readiness Assessment Includes

For most owners, the hardest part is knowing where to start. That is the role of a structured Exit Readiness Assessment.

RTO Advisory's approach is designed specifically for owners of established small businesses and middle market companies, typically with $1M–$100M in annual revenue and $1M–$20M in EBITDA, who expect to exit in the next several years but are not formally prepared.

While every engagement is tailored, a typical Exit Readiness Assessment includes:

1. Clarifying Objectives and Constraints

- Your personal goals: timing, legacy, and desired level of involvement post-transaction
- Your financial goals: target net proceeds, income needs, and risk tolerance
- Constraints: family considerations, partner dynamics, and debt obligations

This context shapes what "readiness" actually means for you.

2. Diagnostic Review Across the Six Critical Gaps

Aligned to the research, the assessment examines:

Financial Reporting

- Quality, consistency, and timeliness of financial statements
- Budgeting, forecasting, and KPI dashboards
- Audit or review history, if any
- Readiness for improvement over a 3–5 year horizon

Tax Structure and Strategy

- Current entity structure and its exit implications
- Treatment of owner compensation and distributions
- Planning opportunities to improve after-tax outcomes

Succession & Continuity / Key-Person Risk

- Depth and stability of the leadership team
- Documentation of succession and contingency plans
- Owner dependence in customer, supplier, and banking relationships

Valuation and Market Benchmarking

- Indicative valuation range based on current performance and risk profile
- Comparison to relevant benchmarks in your size and sector
- Identification of value drivers and value detractors specific to your business

Operational Dependence on the Owner

- Process documentation and institutionalization of know-how
- Delegation of decision rights and management autonomy
- Scalability of operations without incremental owner involvement

Banking, Coverage Ratios, and Collateral

- Review of existing facilities, covenants, and coverage metric
- Alignment between financials and collateral documentation
- Strength and depth of banking relationships

What an Exit Readiness Assessment Includes

3. **Readiness Scoring and Risk Map**

The Assessment synthesizes findings into a practical view, crystallizing:

- Where you are already aligned with buyer and lender expectations
- Where you face moderate risk that could be addressed within 12–24 months
- Where you have high-risk gaps that will materially affect valuation or dealability if left unaddressed

Instead of vague, generalized advice, you get a focused map of issues that truly matter for an exit in your size range.

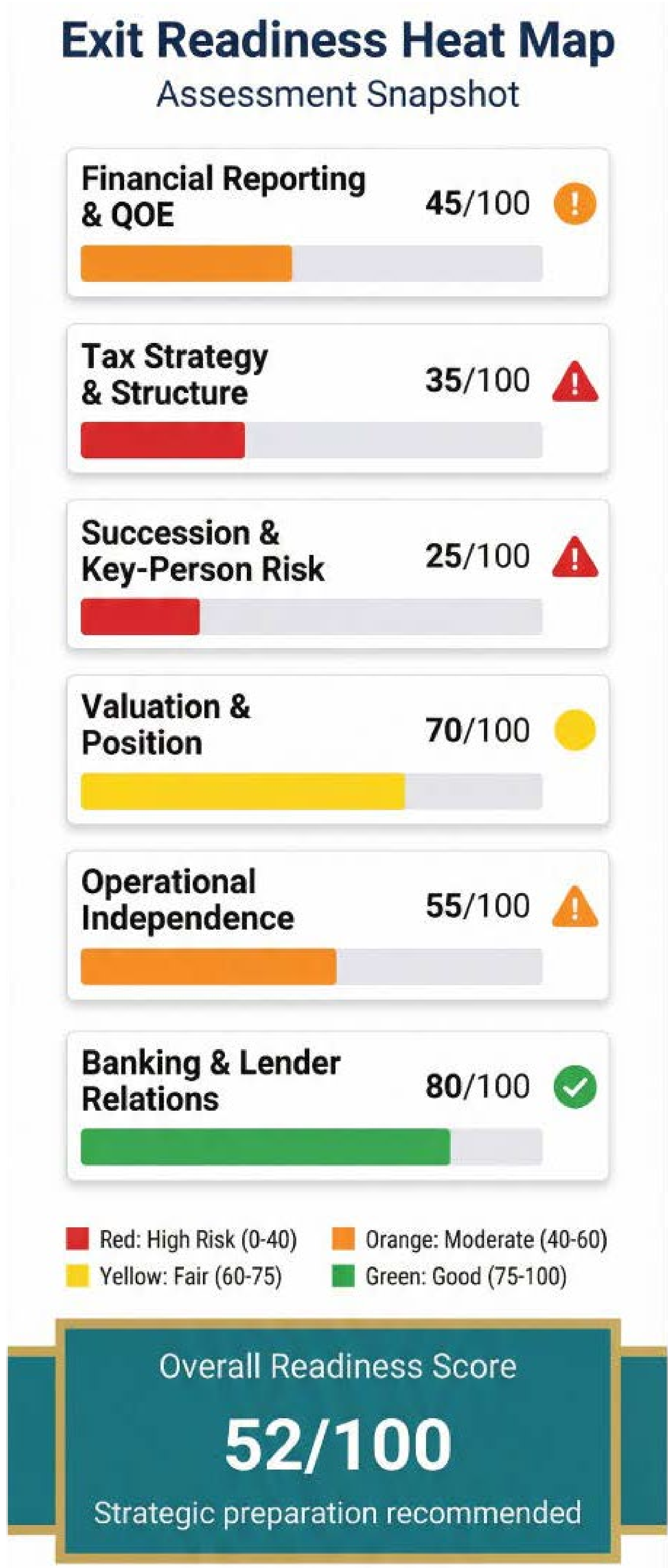
4. **3-5 Year Roadmap to Value**

Finally, the assessment outlines a phased roadmap aligned with the data showing that 3–5 year planning can increase value by up to 30%[3,15].

This typically includes:

- Priority initiatives for the next 12–18 months (high-impact fixes)
- Medium-term projects (leadership development, succession, process automation)
- Ongoing disciplines (financial reporting cadence, covenant monitoring, annual valuation check-ups)

The result is not a theoretical report, but a practical action plan that integrates with your strategic planning cycle.



Turning Data into Action

The Statistics Paint a Clear Picture

- 75%[3] of business owners lack formal exit plans, and 58%[1,2,3] have no plan at all
- Only 20–30%[3] of businesses listed for sale actually complete transactions
- Rushed exits result in 20–40%[3] lower valuations, while 3–5 years of planning can increase value by up to 30%[3,15]
- 75%[6] of owners regret their exit, and 70%[6] of founders are disappointed in the value they achieved

If you own a privately held business with $1M–$100M in revenue and $1M–$20M in EBITDA, this is not an abstract problem. It is the backdrop against which your future exit will take place.

Three Paths Forward

You have three fundamental options:

1. **Do nothing** and hope that circumstances, timing, and buyers align in your favor
2. **React later** when a health event, unsolicited offer, or market change forces your hand
3. **Act deliberately now, while you still have time to shape the outcome**

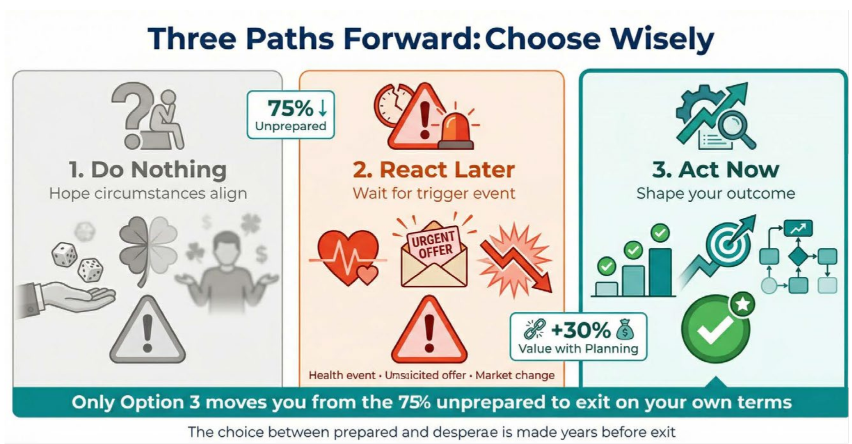
The third option is the only one that reliably moves you out of the 75% who are unprepared and into the minority who exit on their own terms, with better valuations, stronger deal structures, and far less regret.

The Window Is Closing

Market momentum is building. With 75.8%[5,8] of CEOs now engaged in exit planning, lower middle market M&A activity growing 12.8%[9,16,17], and sell-side intent projected to rise from 18% to 24%[5,8] by 2027, competition among sellers will intensify.

Capital is available for quality deals today, but quality increasingly means prepared.

Prepared businesses will harness these tailwinds. Unprepared ones risk being lost in the noise, or forced to accept unfavorable terms negotiated from a position of weakness.



Next Steps:

Schedule Your Exit Readiness Assessment

RTO Advisory's Exit Readiness Assessment is designed to be the first, practical step.

- No commitment to sell now. This is about understanding your position, not forcing a transaction
- No requirement to choose a specific path. Whether you are considering a sale, recapitalization, family succession, or a management buyout, the assessment applies
- A clear, objective picture of where you stand today and what it would take, over the next 3–5 years, to be truly exit ready

What You Receive:

- Diagnostic review across all six critical readiness gaps
- Readiness scoring and risk heat map showing high-priority areas
- Indicative valuation range based on current state
- Phased 3–5 year roadmap with priority initiatives
- Clear understanding of what "ready" actually means for your business

The Question Isn't Whether, It's When

If you expect to exit, transition, or meaningfully reduce your involvement in the next several years, the question is not whether you should prepare, but how soon you choose to start.

The data is clear. Owners who start now give themselves:

- More options at exit
- Better valuations (up to 30% higher[3, 15])
- Stronger negotiating positions
- Greater confidence in post-exit success
- Far less regret

Do not become part of the 75%[3] who wish they had started earlier.

Contact RTO Advisory today to schedule your Exit Readiness Assessment.

The choice between being prepared and being desperate is made years before you go to market. Make it now, while time is still on your side.

References

The data and insights referenced throughout this white paper are synthesized from publicly available research and industry reporting focused on exit planning, middle market M&A activity, valuation multiples, succession risk, and enterprise value optimization.

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